
The Marketing Research Scene in Saudi Arabia*

The Marketing
Research Scene
in Saudi Arabia

by
Secil Tuncalp

*College of Industrial Management, University of Petroleum and Minerals,
Dhahran, Saudi Arabia*

15

For a country with a population base of only eight-ten million people, Saudi Arabia is a significant international trader. Due to an annual per capita income among the highest in the world and a fast pace of economic development, Saudi Arabia exhibits a high propensity to import. According to Government statistics, 85 per cent of the country's total needs are secured through imports[1]. For example, during 1985, imports reached almost \$24 billion corresponding to about \$2,500 per capita[2].

Consequently, Saudi Arabia is on the target market list of a number of European exporting countries. For example, it is the seventh most important export market for Greece and Turkey. Saudi Arabia is also the eighth most important market for Italy; ninth for Switzerland; tenth for Spain; 12th for France; 13th for Belgium and Austria; 14th for the UK and the Netherlands; 18th for Sweden and Ireland; 20th for Germany, Denmark and Finland, and so on. Outside of Europe, Saudi Arabia is also an important export market for a number of countries. For example, it ranks as the ninth most important market for Japan and 12th for the United States[2].

In addition to its prominence for being lucrative, Saudi's market is also a very complex one. It consists of numerous segments and niches. For example, Saudi nationals and expatriates working in Saudi Arabia make up different markets. The nomadic Saudis, the Bedouins, make up a separate niche. Even expatriates consist of many different market segments, based on nationality and religion. There are about one million Yemenis living permanently in the country. In addition, there are also a couple of million transients, primarily pilgrims coming to visit the holy cities of Mecca and Medina. All of these separate segments have their own needs and wants and exhibit unique behavioural patterns.

For a country which presents an important and yet a challenging market, there should be enough research carried out and sufficient information available for exporters to facilitate their strategy formulations. Unfortunately, this is not the case. Outside of the basic macro-economic data, there is not much information

*The author gratefully acknowledges the research support of the University of Petroleum and Minerals in this study.

available on market characteristics, competition, consumer behaviour, or the other elements of the marketing mix — price, promotion, product and distribution.

The purpose of this article is to describe the marketing research scene in Saudi Arabia. A study addressing this issue is justifiable for at least two reasons. On the theoretical side, there has been a growing interest in the diffusion of marketing research in developing countries. The findings described here will contribute to the knowledge available in this area. On the practical side, the study findings may yield invaluable insights for the international marketers exporting to Saudi Arabia.

Why is Research Lacking?

There are various environmental factors which influence the level of research activity in Saudi Arabia. Like most developing economies, the local industry in Saudi Arabia is production oriented. The majority of local companies have not bothered to set up marketing departments, the primary conduit for marketing research. This situation does not present an immediate problem to the companies for two reasons, the first being that the market demand exceeded supply in the past, creating the so-called seller's market. Thus, producers can sell very profitably. The second reason is the low levels of competition. Because of the recent history of industrialisation in Saudi Arabia, most local manufacturers tend to be monopolies. In addition, there are various government rules and regulations that protect local manufacturers against unfair competition from imports. These conditions make life easy for producers, who see no need for researching their markets.

Another factor which explains the lack of research in Saudi Arabia is product related. A significant portion of local production consists of assembling or packaging licensed products. There are no R&D departments. An almost complete absence of product innovation or adaptation thus places no pressure on producers to research the local consumers' needs and wants.

The shortage of organisations and professionals who could provide a research capability is another factor hampering research in Saudi Arabia. As there are no political or public opinion surveys in the country, entrepreneurs are hesitant to establish survey agencies. In spite of the prevailing low demand for research, the few marketing research firms charge exorbitant prices for their services. Obviously, the high cost of research is further dampening the research activities. Furthermore, specialists to perform research are scarce. The few marketing research faculties working in the universities concentrate on teaching, and outside consulting is not encouraged for them.

The decision-making framework in Saudi Arabia is another factor explaining the lack of research. In the main, decisions are made by the owners, who base their actions on experience or intuition[3]. In this centralised approach, there is no need for information to improve the reliability of decisions. Decisions are also made on a rather *ad hoc* basis, and problems are solved as they approach emergency proportions. Contrary to the "master of destiny" philosophy prevailing in Western management practices, the deep sense of fatalism and a strong belief in faith diminish the need for long-range planning. Consequently, there is also no need for information to plan the future. It follows, then, that the decision-making process in Saudi Arabia places no burden on research, the primary vehicle for gathering information, in the business environment.

Finally, it is a formidable undertaking to conduct research in Saudi Arabia. At every step along the way, the research process is hampered by cultural hurdles. There are difficult barriers in language, religion, customs, social etiquettes and laws that have to be carefully navigated. The rest of this article will seek to identify some of the important constraints to carrying out research in Saudi Arabia, and will suggest practical solutions based on the author's experiences.

Some Data are Available

There are a number of secondary sources of information in Saudi Arabia. However, most of the available data are economic descriptors rather than market related. Also, as is the case with most other developing countries, Saudi Arabia suffers from lack of reliable information[4]. There is also a tendency strongly to guard what little information exists. For example, the Arabian American Oil Company (ARAMCO) collects and keeps a wealth of information through its various organisations, such as the Local Industrial Development Department, Contracting Department, Business Analysis Department, Purchasing Department, etc. Unfortunately, accessing the databases in ARAMCO is next to impossible.

Other important sources of data are the Government agencies. These tend to be more forthcoming with information, and release a steady stream of data for public usage through their periodic publications, all in English. The foremost agency for secondary data is the Central Department of Statistics of the Ministry of Finance and National Economy[5]. In addition to maintaining the national accounts for Saudi Arabia, this agency also conducted a comprehensive agricultural census and a census of registered private establishments in the mining, manufacturing, utilities, construction, trade and services sectors. Among its publications are the monthly cost of living index bulletins, the quarterly and annual foreign trade statistics and the annual statistical yearbook for Saudi Arabia.

The annual review of the economy, released by the Saudi Arabian Monetary Agency, is the most authoritative document about the Saudi economy. Its appendices contain a wealth of information on a number of areas, including money and banking, oil statistics, international transactions, prices and production, national accounts and public finance. The Ministry of Planning puts out the five-year development plan. This lengthy document contains not only activities intended for the future, but also summarises, in depth, the current state of the economy and the accomplishments of past years.

The Saudi Arabian National Centre for Science and Technology (SANCST), chambers of commerce, the universities and their libraries, the Research Institute of the University of Petroleum and Minerals and the commercial sections of the embassies and consulates located in Saudi Arabia are other sources for secondary information.

Problems in Questionnaire Design

Questionnaire preparation can present immense difficulties. For a questionnaire initially prepared in English, translating it into Arabic can be reliably accomplished by using the "back-translation" method[6]. This approach involves a two-phase process. In the first phase, the English version of the questionnaire is translated into Arabic by an interpreter. In the second phase, the Arabic version is translated back into English by another interpreter. The initial English version is then compared with the second

English version, the one translated back from Arabic, to assess the effectiveness of the translation process and how closely the English version matches the Arabic version.

Another phase can be added to this approach to improve the reliability of the translation further. The cross-linguistic comparability of the English and the Arabic versions can be checked by a third person who is bilingual in English and Arabic. It is worth noting that the success of this method depends on the effectiveness of the interpreters, especially those translating from English into Arabic. They should be instructed to stay away from literal translation as much as possible and to focus on interpretation or translation of the intended meaning.

As Saudis are not used to survey research in general and filling out questionnaires in particular, they are reluctant to participate in lengthy questionnaire studies. For this reason, questionnaires should employ closed-end questions, as opposed to open-end questions. Dichotomous or multiple-choice questions, using simple and common wording in short sentences, are appropriate. Because of the ease with which they can be administered, other types of closed-end questions, using the Likert scale, the semantic differential scale and rating scales, are also appropriate.

It has been shown that multi-item instruments, also called index or composite measures, to assess psychographic and behavioural concepts in consumer behaviour can be successfully applied cross-culturally. For example, King and Summers' self-designated scale is used to measure opinion leadership[7]. The scale was tested for reliability in other countries[8]. It also demonstrated satisfactory internal consistency in Saudi Arabia[9]. Other similar index measures, such as personality and attitude scales, are suitable for questionnaire surveys in Saudi Arabia.

Difficulties in Sampling

It is a formidable, if not impossible, task to draw probabilistic samples in Saudi Arabia. The sampling difficulties are so acute that non-probabilistic sampling becomes a necessary evil. For example, there is no officially recognised census of population as yet. Other listings that can serve as sampling frames for representative samples do not exist. As there are no elections in the country, voter registration records are not available. Even though telephone ownership is extensive, telephone directories tend to be incomplete and often out of date. In addition, the unapproachability of women in Saudi Arabia would make the probability sampling procedures biased and unrepresentative, even if it was possible to draw random samples.

Furthermore, accurate maps of population centres are not available. Urbanisation is taking place at such a fast pace that maps drawn by the municipalities become outdated and unreliable very quickly. Therefore, using city blocks as the basis for sampling units for drawing cluster (area) samples or stratified samples are not possible.

As population information is not available, how many people should be surveyed for the sample size becomes more important. By keeping the sample size as large as practical and by replicating a study many times, using different convenience samples, its findings can be expected to result in a more reliable result.

Another problem area in sampling is the sampling unit or the question of who is to be surveyed. For example, as the different roles family members play in a

purchase decision is not known, questions arise in using only the husbands as survey respondents. In addition, the extended family structure of the Saudi household includes, at least, the hosting of the husband's parents. Considering the fact that family elders are revered and their opinions respected in Saudi culture, the definition of the head of household becomes murky. Surveying only the primary bread-winner, the husband, as the head of the household may not be appropriate.

Even though the non-probability sampling method is considered the step-child of sampling techniques by practitioners of marketing research, this approach can find appropriate use in Saudi Arabia[10]. For example, convenience sampling would serve well for exploratory studies designed to gain a better understanding of the Saudi market and the consumer. In addition, the effectiveness of research that uses non-probability samples can be improved by using other refined techniques, such as judgement and quote sampling[11].

Collecting Information

Any one of the primary data-collection methods will present challenges to researchers. The personal interview mode of contacting potential respondents will probably be the least successful. There are at least three reasons for this. First, Saudis consider their homes off-limits to strangers. Only very trusted friends are allowed to enter their homes. Second, the very private and reserved nature of Saudis is not conducive to personal interviews. They consider their beliefs and values, personal orientations and their family's attributes as private information, which precludes divulging them to strangers. Third, the independent and free nature of Saudis, the Bedouin syndrome, blocks them from answering a barrage of questions thrown at them. Placing themselves in a position in which they would possibly be justifying or explaining their actions to strangers would not be tolerated.

Contacting potential respondents through the mail also has a number of shortcomings. One is that the mail system is not very efficient or reliable. Despite the fact that there were improvements in 1983, street addresses are still not completely in place. There is no postal delivery of personal mail to homes. Saudis living in cities rely on post office boxes for the delivery of their incoming mail. The postal system breaks down in rural areas, which makes it very difficult to reach people living in rural areas through the mail questionnaire. Another shortcoming of contacting respondents using the mail system is the fact that Saudis make bad correspondents. This fact would have a negative effect on the response rate. Finally, even if they were inclined to respond, they would require repeated waves of reminders or callbacks. Time runs much slower in Saudi Arabia[12]. Promptness and punctuality are not valued as strongly as they are in Western environments.

Collecting data using the telephone interview approach will present the researcher with various problems. For example, daytime calls to Saudi households would not work because social norms will require the housewife not to respond to calls from strangers. It could be possible to get co-operation if female telephone interviewers were used. However, employment of women is quite difficult and can take place only under special conditions. In addition, Saudis go for face-to-face relationships. This preference also affects the likelihood of telephone interviews succeeding.

However, the problems identified for various data-collection methods are not insurmountable. For example, Saudi graduate students make excellent fieldworkers. They can be used to hand-deliver questionnaires to relatives and friends. Then these initial respondents can be asked for referrals to other potential respondents, and so on. This approach would result in the sample snowballing and enable the researcher to achieve a large sample size. As the personal effort of graduate students are involved in each round, this process would yield a high response rate. In addition, the students, who should become familiar with the study and be getting an initial training in fieldwork procedures, can be available to reply to any questions that the respondents would have. Finally, as the students would be known by the respondents, their co-operation would be assured.

Suppliers of Marketing Research

The number of public and private sector organisations with research capabilities are few in Saudi Arabia. Some agencies in the public sector are involved in research, but their activities are primarily economic or scientific. For example, the Central Department of Statistics administered by the Ministry of Finance and National Economy, is the most experienced organisation in the research field. This agency has its own field work, and conducts research for the Saudi Government. Another public agency active in research is the Saudi Consulting House of the Ministry of Industry and Electricity. However, its activities fall within the realm of economic feasibility studies. It will carry out studies for local businessmen on a contract basis. In addition, before an industrial investment proposal is granted approval by the Ministry of Industry and Electricity, it must pass the House's scrutiny.

The foremost government agency in the field of research is the Saudi Arabian Centre for Science and Technology (SANCST)[13]. This agency strives to promote scientific research through various programmes. One is the transfer of research technology to Saudi Arabia by establishing joint projects with industrial countries. Another programme involves providing financial support to researchers and granting scholarships to Saudi students to develop human resources in the research field. Lastly, by maintaining a directory of all ongoing research, SANCST serves as the co-ordinator of research in the country.

There are only a small number of local commercial organisations in the private sector that can carry out marketing research. Some of these include the Saudi Research and Marketing Company, Al Harity and Saudi Advertising International. As they never advertise, not much is known about their capabilities. One exception is a company called Tihama. Located in Jeddah, it occasionally advertises its marketing research department. It has also conducted consumer studies in the past in association with Frith Overseas Research Ltd, a professional British research firm.

There are two additional foreign research companies in Saudi Arabia. Pan Arab Research Centre (PARC), a member of Gallup International, is located in Kuwait. Its frequent advertisements indicate that it also covers Saudi Arabia with a wide variety of services, including media, *ad hoc*, omnibus and syndicated research. The other company is International Marketing and Economic Services (IMES). Despite the fact that it never advertises, this London-based company has been

quoted at various times in local newspapers as providing statistics about Saudi consumption patterns.

Finally, there are a small number of international consulting companies that have previously worked in the country and gained valuable experience. These companies include Arthur D. Little, Inc, CH2M Hill International and Metra Consulting Limited.

Future Prospects

Future prospects for a wider diffusion of marketing research in Saudi Arabia look bright for a number of reasons. Recently, various structural changes have taken place in the economy which have intensified the need for information and marketing research. For example, the glut in the world's oil market caused a dramatic fall in Government revenues. The ensuing cut-back in Government spending, together with the departure of hordes of expatriates, resulted in substantial drops in demand for various goods and services, thus, creating a buyer-market condition. In light of the tougher competitive environment, local managers are turning to research and information to fine-tune their marketing strategies.

The new interest in the information environment is further complemented by the author's first-hand knowledge of a significant increase in the number of students who sign up for courses on information systems in Saudi universities. These highly trained cadres of young Saudis will emerge soon into the business environment and will cause dramatic changes in the old business habits and practices. In addition, due to the shortage of human resources, the central planners are pushing for the computerisation of the Saudi business environment. Availability of the latest computer hard and software is creating an atmosphere which is conducive to research.

References

1. An interview with the Minister of Industry and Electricity which appeared in *Saudi Gazette*, 12 May 1984, p. 3.
2. International Monetary Fund, *Direction of Trade Statistics, Yearbook*, 1986.
3. Badawy, M.K., "Styles of Mideastern Managers", *California Management Review*, Spring 1980, pp. 51-8.
4. Maloney, J.F., "In Saudi Arabia, Sands, Statistics can be Shifty", *Marketing News*, 2 July 1976, p. 6.
5. Ministry of Planning, *Fourth Development Plan*, 1405-1410 AH (1985-1990 AD), Kingdom of Saudi Arabia, p. 260.
6. Douglas, S. and Craig, C.S., *International Marketing Research*, Prentice-Hall, Englewood Cliffs, NJ, 1983.
7. King, C.W. and Summers, J.O., "Overlap of Opinion Leadership across Consumer Product Categories", *Journal of Marketing Research*, Vol. 7, 1970, pp. 43-50.
8. See, for example: Yavas, U., Riecken, G. and Hahti, A., "Reliability Assessment of Opinion Leadership Concept: A Reliability Study", *Journal of Marketing Research*, Vol. 19, 1982, pp. 154-5; Yavas, U., Riecken, G. and Hahti, A., "Further Evidence on the Cross-National Reliability of King and Summers' Opinion Leadership Scale: An Extension to Saudi Arabia", in Raaij, W.F.V. and Schelbergen, F.J.C.M. (Eds.), *Proceedings of the XIIIth Annual Conference of the European Marketing Academy*, Netherlands School of Business, Breukelen, 1984, pp. 633-48.

9. Yavas, U. and Tuncalp, S., "Using Interpersonal Communications to Facilitate the Adoption of an Innovative Food Retailing Institution", in Kaynak, E. (Ed.), *World Food Marketing Systems*, Butterworths, London, 1986, pp. 268-75.
10. Tuncalp, S. and Yavas, U., "Strategies for US Marketers in Saudi Arabia", *Business*, Vol. 36 No. 2, April-June 1986, pp. 56-9.
11. Parasuraman, A., *Marketing Research*, Addison-Wesley, Reading, Mass., 1986.
12. Yavas, U. and Tuncalp, S., "Doing Business in Saudi Arabia: A Primer for the First Time Visitor", in Smith, J.O. Jr. and Gooding, C.W. (Eds.), *Proceedings of the 15th Annual Meeting*, Southeast American Institute for Decision Sciences, New Orleans, 27 February-1 March 1985, pp. 128-30.
13. Saudi Arabian Monetary Agency, *Annual Report*, 1403 AH (1983 AD), Research and Statistical Department, Kingdom of Saudi Arabia, pp. 110-1.